

## b. How to select an ETF/ Index Fund?

As we know passive funds replicate the indices and sound very simple but there are so many funds tracking the same index.

**So, how do we choose the best scheme then?**

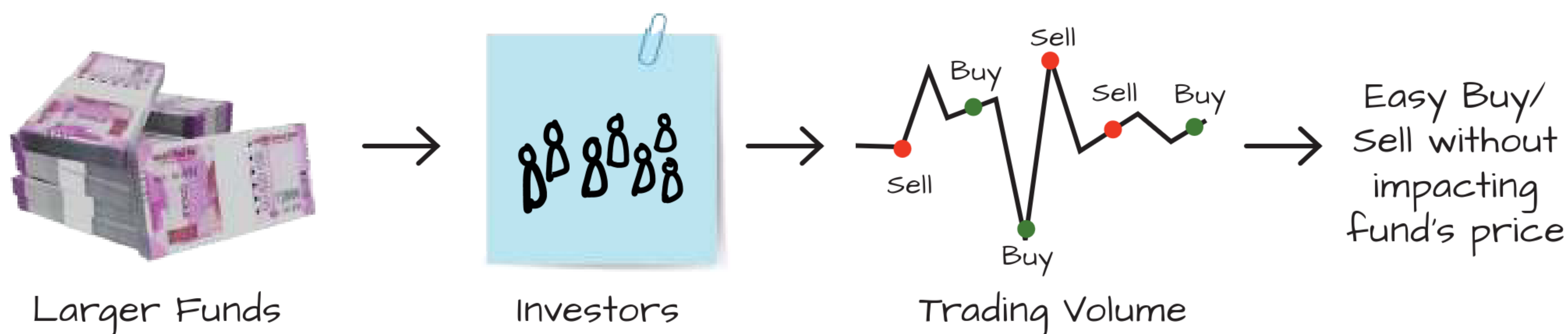
**You can follow this 4-step Checklist!**

### Step 1: Filter by AUM

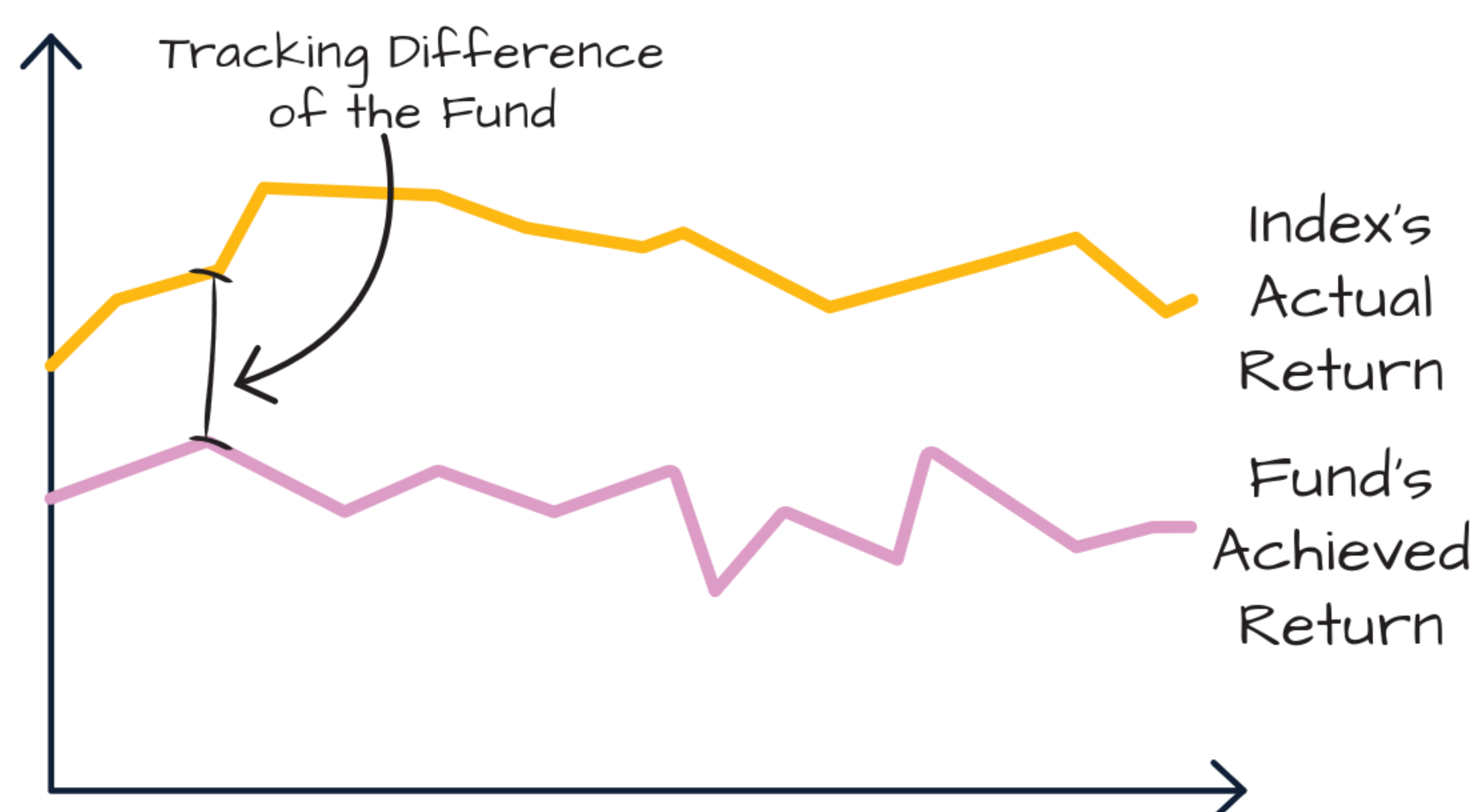
Begin by **selecting the top three funds with higher AUM.**

Why? Because:

- **Higher Average Daily Volume:** Larger funds typically have more investors, leading to higher daily trading volume. This can make it easier for you to buy or sell shares without significantly impacting the fund's price.



- **Lower tracking differences:** Large funds have more resources and buying power, allowing them to closely track their benchmark, resulting in lower tracking differences.



- **Better resilience to market volatility:** Due to their size and diversification, large funds can weather market downturns more effectively than smaller funds. They have more buffer to absorb losses and are less likely to be forced to sell assets at lower prices due to redemptions.